EnerSys (ENS)

Mispriced

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*Mispriced. Market prices ENS as a cyclical forklift battery company at 2% implied growth; A&D backlog (+27%) and AI data center power demand are not credited. Margin expansion. IRC 45X tax credits structurally boost FCF; 16.2% adj operating margins expanding from single digits a year ago. Risk/reward. 30% upside to $220 base with 10% downside to $152 bear; 1.3x leverage and $218M quarterly FCF provide downside protection. Our framework screens it as a **Buy** with a $219.31 blended target, 30% above the current price.*

BUY	$219.31	+30%	$168.72
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Margin expansion. IRC 45X tax credits structurally boost FCF; 16.2% adj operating margins expanding from single digits a year ago.

Risk/reward. 30% upside to $220 base with 10% downside to $152 bear; 1.3x leverage and $218M quarterly FCF provide downside protection.

$935.6M	16.2%	$217.8M	1.3x EBITDA	+27%	$0.2625/qtr
REVENUE (Q2 FY27)	ADJ. OPERATING MARGIN	FREE CASH FLOW (Q)	NET LEVERAGE	A&D BACKLOG	DIVIDEND

The moat is structural

A&D backlog conversion: Specialty segment +27% backlog, munitions +230% YTD converting to revenue

Three scenarios make the valuation range explicit

The DCF values EnerSys across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$151.98**	-10%
Base	50%	**$219.84**	+30%
Bull	25%	**$285.57**	+69%

Bear ($151.98, -10%): Growth disappoints and multiples compress; the $151.98 target marks the downside case.

Bull ($285.57, +69%): Execution compounds and the multiple rerates; the $285.57 target marks the upside case.

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The probability-blended target implies +30% upside

Blended target: $219.31 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +30% upside from the $168.72 reference price.

$219.31

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Forward P/E 11.7x [Mkt 16-Oct-26] PEG 0.91x [Mkt 16-Oct-26] EV/EBITDA ~8x [Mkt 16-Oct-26] FCF yield ~13% [Mkt 16-Oct-26] Cheap on all absolute metrics; DCF implies 30% upside.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $219.31 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

A&D backlog conversion: Specialty segment +27% backlog, munitions +230% YTD converting to revenue [8-K guid]

AI data center backup power: rising rack density drives hyperscale battery demand [10-Q Q2 FY27]

IRC 45X tax credits: structural FCF uplift from domestic manufacturing [10-Q Q2 FY27]

What to monitor

Jan 2027. Q3 FY27 Earnings (Positive): A&D conversion pace and margin trajectory.

2027. Hyperscale Design Wins (Positive): Data center backup power contracts.

2027. 45X Credit Clarity (Two-Sided): Durability of tax benefit under policy review.

$935.6M	16.2%	$217.8M	1.3x EBITDA
REVENUE (Q2 FY27)	ADJ. OPERATING MARGIN	FREE CASH FLOW (Q)	NET LEVERAGE

Key risks

Industrial cyclicality. Motive Power exposed to warehouse/manufacturing capex; deep recession pressures volumes. [10-K FY26]

Lead price volatility. Key input cost; spikes compress margins if not passed through. [10-K FY26]

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Defense budget shifts. US spending priority changes could slow A&D backlog conversion. [10-K FY26]

Investment view

Motive Power book-to-bill above 1.0x for two quarters signals the industrial trough has passed (bullish). Specialty revenue growth below 10% undermines the A&D thesis (bearish). Net leverage above 2.5x constrains buyback and dividend (bearish).

Buy. The $219.31 blended target implies +30% upside, balancing the $151.98 / $219.84 / $285.57 Bear / Base / Bull targets.

AI data center backup power: rising rack density drives hyperscale battery demand [10-Q Q2 FY27]

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Upcoming catalysts

Jan 2027. Q3 FY27 Earnings (Positive): A&D conversion pace and margin trajectory.

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